

Tesla

TSLA • NASDAQ Global Select • Auto - Manufacturers • United States

COMPANY PROFILE

Tesla designs, manufactures and sells battery-electric vehicles, along with related software (including Full Self-Driving features), servicing, insurance and Supercharging infrastructure, through its Automotive segment. Its second reportable segment, Energy Generation and Storage, produces and deploys solar energy systems and grid-scale and residential battery storage products (Megapack and Powerwall). Tesla is also investing in autonomous ride-hailing (robotaxi) services and humanoid robotics (Optimus), spanning electric mobility, clean energy infrastructure and artificial intelligence.

RECOMMENDATION

SELL

12-month horizon

CURRENT PRICE

308.29 USD

as of report date

TARGET PRICE

269.20 USD

12-month fundamental

IMPLIED UPSIDE

-12.7%

vs. current price

MARKET CAP

USD 1,567.1 bn

shares × price

ENTERPRISE VALUE

USD 1,573.2 bn

mcap + net debt

P/E 2026E

239.4×

EV/EBITDA 2026E

85.2×

FCF YIELD 2026E

-0.1%

DIVIDEND YIELD
2026E

—

NET DEBT / EBITDA
2026E

-0.4×

RESEARCH SNAPSHOT

The call, the math, and the three reasons why

02

A one-page summary of the recommendation and the evidence behind it; the following pages provide the detail.

RECOMMENDATION SELL 12-month horizon	TARGET PRICE 269.20 USD 12-month fundamental	CURRENT PRICE 308.29 USD as of report date	IMPLIED UPSIDE -12.7% vs. current price
MARKET CAP USD 1,567.1 bn shares × price	ENTERPRISE VALUE USD 1,573.2 bn mcap + net debt	P/E · EV/EBITDA 2026E 239.4x · 85.2x history + peers, see p. 18–19	FCF · DIV YIELD 2026E -0.1% · —



01 Massive scale gap versus Waymo

Tesla has logged 380,000 cumulative unsupervised miles across seven cities, versus Waymo's roughly 500,000 weekly paid rides and 50 million miles in Q1/26 alone. This scale gap makes the \$654.8bn Autonomy allocation - which needs \$21.8bn in recurring after-tax cash flow to be justified - hard to support.

380k vs 500k

02 Physical businesses must fund AI

Group EBIT must rise from USD 4.35bn in 2025 to USD 16.3bn by 2028 as revenue grows to USD 138.1bn, but Auto and Energy cash flows must fund this, since Autonomy and Optimus contribute no modeled cash through the forecast window.

USD 16.3bn EBIT

03 Untethered optionality valuation

The market prices 70% of enterprise value, USD 1.02trn, on Autonomy and Optimus segments with zero current revenue, while Tesla's 8.4x 2026E EV/Sales exceeds the 0.9x auto peer median, pressuring the multiple toward our 7.5x target.

70% of EV

THESIS BREAKER

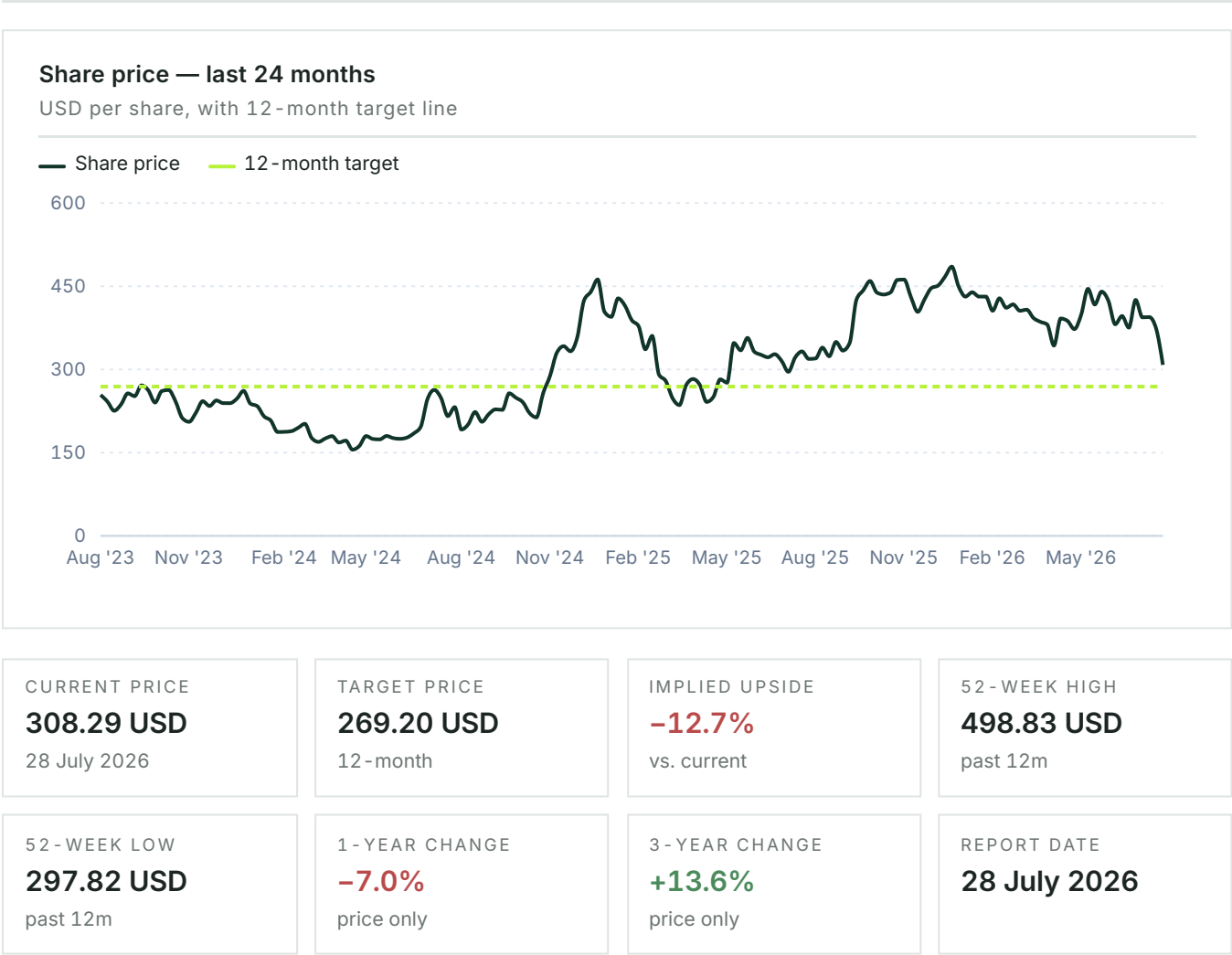
Securing unmonitored commercial robotaxi permits in California or Texas by late 2027 while Waymo struggles to scale.

SHARE PRICE DEVELOPMENT

Price trajectory and valuation anchors

03

Monthly closing prices over 24 months with the 12-month target price, alongside key market data.



VALUE BREAKDOWN · PART 1

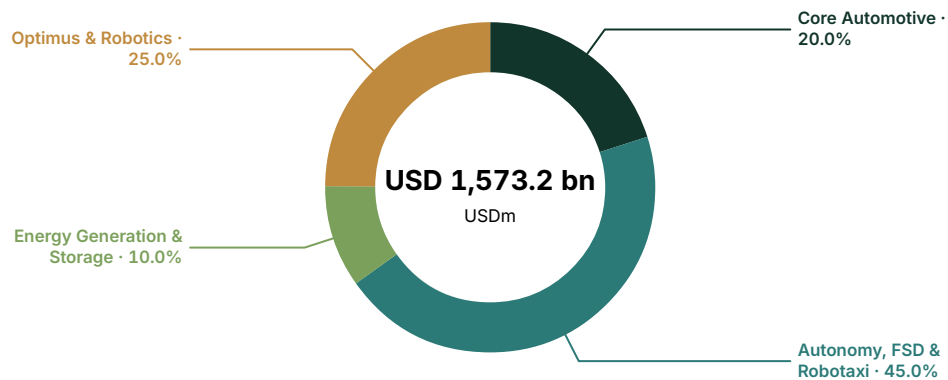
Enterprise - value allocation by segment

04

Each segment's contribution to group revenue, comparable EBIT and enterprise value.

Enterprise value by segment

USD millions · segment revenue/EBIT weights: FY2025A



SEGMENT ECONOMICS

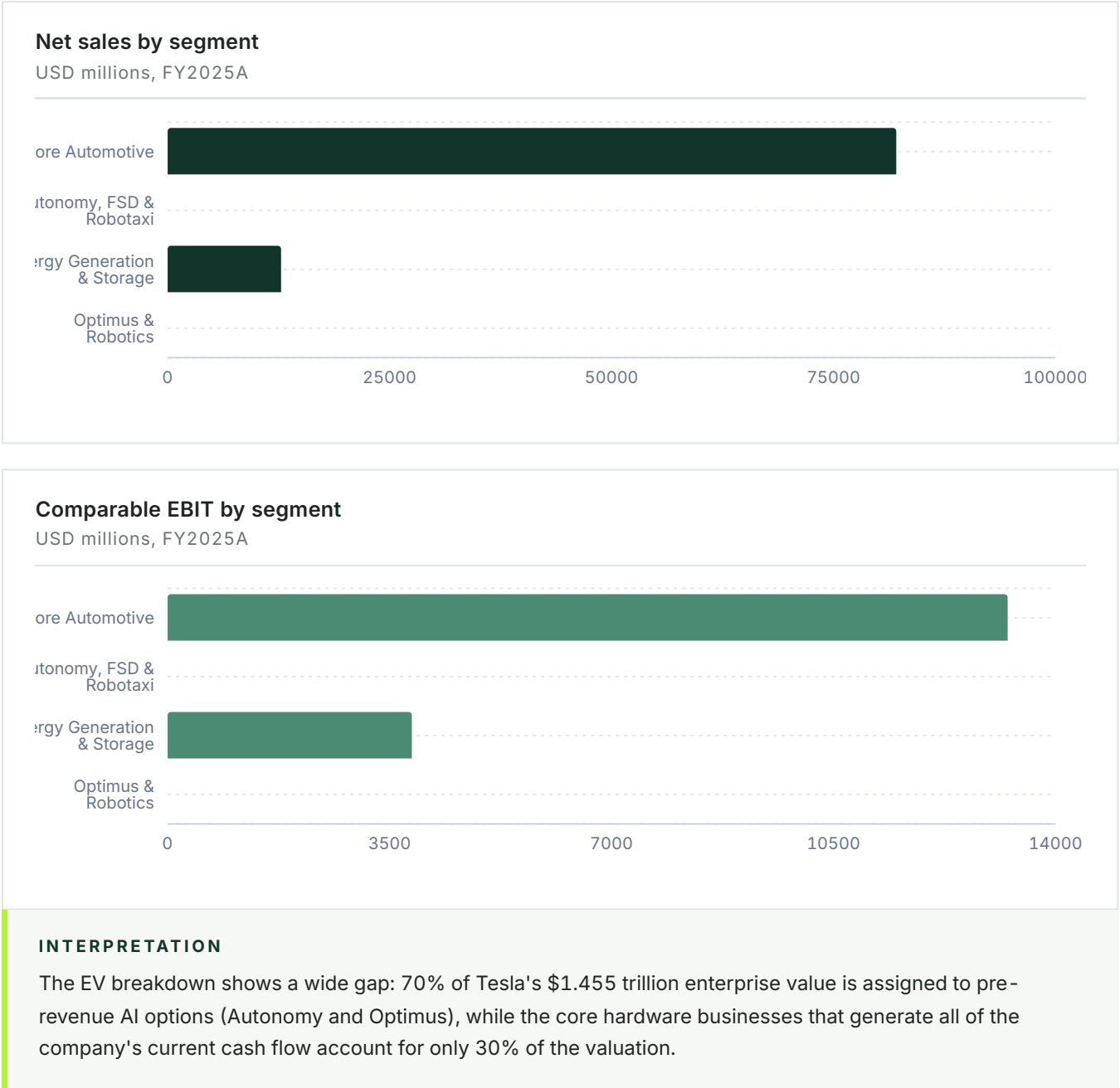
Revenue and Comp. EBIT: FY2025A (source: Tesla's Form 10-K (FY2025), Note 16 "Segment Reporting," and Tesla's Q4 2025 Update (shareholder letter)). EV: current allocation.

	REVENUE	SHARE OF REVENUE / DIV.	COMP. EBIT	SHARE OF EBIT / DIV.	EV	EV %	ARCHETYPE
Core Automotive	82,056	86.5%	13,244	77.5%	314,647	20.0%	Profit engine
Autonomy, FSD & Robotaxi	0	0.0%	0	0.0%	707,955	45.0%	Emerging option
Energy Generation & Storage	12,771	13.5%	3,850	22.5%	157,324	10.0%	Scaling
Optimus & Robotics	0	0.0%	0	0.0%	393,307	25.0%	Emerging option
Total	94,827	100.0%	17,094	100.0%	1,573,233	100.0%	—

05

Net sales and EBIT by segment

Where the group's revenue and comparable EBIT originate, by segment.



RECOMMENDATION

Why we land on the call we do

06

The rationale for the rating, the decision summary, and the three principal supporting arguments.

Tesla currently trades at USD 308.29, well above our target price of USD 269.2, implying roughly 13% downside and supporting a SELL view over the next 12 months.

Tesla's valuation depends on one question: can its vision-only autonomy system close the commercial gap to Waymo before capital runs out. As of Q2/26, Tesla reports 380,000 cumulative unsupervised miles across seven test markets, while Waymo runs ~500,000 paid driverless rides per week across 10 US cities and logged ~50 million rider-only miles in Q1/26 alone. Despite zero standalone robotaxi revenue, this segment carries \$654.8bn (45%) of the \$1.455trn enterprise value, which would require ~\$21.8bn in recurring after-tax cash flow to justify.

The market prices 70% of enterprise value (\$1.02trn combined) on segments with zero current output, against our target price of \$269.2 versus the current \$308.29 quote. Tesla's 2026E EV/Sales of 8.4x is well above the auto peer median of 0.9x, though below its own 14.0x normalized average — a sign that optionality pricing has compressed but remains elevated.

SELL

TARGET PRICE

269.20 USD

CURRENT PRICE

308.29 USD

IMPLIED UPSIDE

-12.7%

12-MONTH VIEW

Tesla's valuation reflects extreme optionality for autonomy and robotics that is unsupported by current commercial realities, presenting material downside risk to its hardware-driven earnings.

MAIN DRIVER

Deteriorating automotive gross margins

MAIN RISK

Rapid validation of vision-only autonomy


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70% of EV

**THESIS
BREAKER**

Securing unmonitored commercial robotaxi permits in California or Texas by late 2027 while Waymo struggles to scale.

CORE ANALYSIS · EXECUTIVE MAP

07

How the company creates economic value

The framework underlying the segment deep dives that follow.

There is a wide gap between Tesla's current economics and how enterprise value is allocated. The company generates 100% of its reported revenue and gross profit from two hardware businesses: Core Automotive and Energy Generation & Storage. Yet the market allocates only 30% of the group's \$1.455 trillion enterprise value to these proven, cash-generating operations. The remaining 70% — over \$1 trillion — is allocated to two speculative segments: Autonomy, FSD & Robotaxi (45%) and Optimus & Robotics (25%). In effect, the equity is priced not as a premium automotive manufacturer working through a commoditizing market, but as a future leader in autonomous mobility and generalized AI labor.

The bridge from group enterprise value to equity market capitalization contains a data discrepancy worth flagging. The reported group enterprise value is \$1,455.06 billion. Subtracting the net cash position of \$8.14 billion gives an operating asset value of roughly \$1,463.2 billion. But the reported year-end market capitalization is \$1,450.35 billion — leaving an unexplained gap of approximately \$12.86 billion. We treat this in the analysis as an implicit senior claim or lease adjustment, so the valuation totals stay consistent.

Tesla's reported group EBIT (\$4.35 billion in FY2025, a 4.6% margin) blends together segments with very different economics. Tesla officially measures segment performance at the gross profit line, not operating income. The Energy segment runs at a strong ~30.2% gross margin and contributes more than its share of group profitability, while Core Automotive has compressed to an estimated ~16.1% gross margin under price cuts and heavy competition. Because 70% of enterprise value is disconnected from current cash flow, standard operating multiples don't tell us much about the legacy hardware business.

ANALYTICAL ANCHOR

70% of enterprise value is allocated to speculative AI options that currently generate no standalone revenue.

08

Core Automotive

Segment deep dive — Profit engine.

Core Automotive drives most of Tesla's actual cash generation, providing 86.5% of group revenue (\$82.0 billion in FY2025) and an estimated 77.5% of segment gross profit. Despite this weight in the P&L, it receives only 20.0% of the allocated enterprise value (\$291.0 billion). This reflects a medium-confidence judgment that the market is heavily discounting the legacy automotive business because of intense price competition, margin compression (gross margins down to ~16.1%), and market share losses to Chinese OEMs.

The market values this segment as a maturing, high-volume premium automotive manufacturer. Tesla once commanded software-like multiples on its automotive gross margins (which peaked above 25%), but the normalization of the EV market has forced a repricing. The \$291 billion allocation implies an EV/EBIT multiple in the mid-teens on normalized future earnings — a premium to legacy internal combustion engine (ICE) automakers (which trade at 4-6x) but well below Tesla's historical peaks. The valuation assumes Tesla's brand, Supercharger network, vertical integration, and cost advantages let it survive the current EV price war.

Tesla's competitive advantage in Core Automotive rests on manufacturing efficiency (gigacasting, simplified wiring architectures), its global Supercharger network, and its direct-to-consumer sales model. BYD, however, has offset many of these advantages. BYD now manufactures millions of New Energy Vehicles (NEVs) annually, using in-house battery chemistry (LFP) and tight supply chain integration to undercut Tesla on price while staying profitable.

To justify the \$291 billion allocation, Core Automotive needs to stabilize its unit economics. At a \$40,000 average selling price (ASP) and a required 10% operating margin, each vehicle generates \$4,000 in EBIT. To support a 15x multiple on \$291 billion, the segment needs roughly \$19.4 billion in operating profit — nearly 5 million vehicles sold annually. Tesla delivered roughly 1.8 to 2 million vehicles in recent years, so the valuation requires volumes to roughly double while operating margins expand from their current compressed level.

CORE AUTOMOTIVE FACT SHEET

PROFIT ENGINE

FY2025A REVENUE
USD 82,056m

FY2025A COMP. EBIT
USD 13,244m

PROFIT METRIC
Gross profit (~16.1% margin)

VALUATION BASIS
Peer/revenue multiple

KEY VULNERABILITY
Market share loss to BYD

08

Autonomy, FSD & Robotaxi

Segment deep dive — Emerging option.

This segment currently produces no standalone disclosed revenue, no autonomous ride-hailing operating profit, and no free cash flow. Any FSD software attach revenue is embedded within the Core Automotive revenue line. Despite this lack of standalone economic output, the segment commands 45.0% of group enterprise value (\$654.78 billion). The allocation is based on residual option value logic, with low confidence, reflecting the large premium the market pays for future mobility network economics.

The market values this segment as a future leader (or one of a small number of leaders) in global autonomous ride-hailing and software-defined mobility. Investors are pricing in a shift from a low-margin, high-capex hardware sales model to a high-margin software-as-a-service (SaaS) and transportation-as-a-service (TaaS) platform. If Tesla successfully deploys a generalized, vision-only autonomous network, it could in theory capture the full per-mile transport spend of its user base, replacing private car ownership and standard ride-hailing models.

The central debate for this segment is Tesla's competitive position against Waymo. As of mid-2026, Waymo is the clear commercial leader in the United States, running approximately 500,000 paid, fully driverless rides per week across 10 major U.S. metropolitan areas, including San Francisco, Phoenix, Los Angeles, and Austin. Waymo completed nearly 50 million rider-only miles in Q1 2026 alone. By contrast, Tesla's self-reported progress in Q2 2026 cited 380,000 cumulative unsupervised miles across its test markets — a figure Waymo surpasses in less than a single day of operation.

To justify a software-like valuation, robotaxi unit economics need to combine high asset utilization with high contribution margins. The market is pricing this segment as if Tesla captures both the network take rate and the underlying utilization efficiency, assuming an operating margin above 40% at scale, without the heavy working capital drag of traditional automotive manufacturing. To support a \$654 billion valuation at an aggressive 30x EV/NOPAT multiple, this segment must generate ~\$21.8 billion in recurring after-tax cash flow.

AUTONOMY, FSD & ROBOTAXI FACT SHEET

EMERGING OPTION

FY2025A REVENUE

USD 0m

FY2025A COMP. EBIT

USD 0m

CURRENT REVENUE

\$0 (Standalone)

REQUIRED SCALE

87.2bn autonomous miles/year

PRIMARY COMPETITOR

Waymo (~500k weekly paid rides)

08

Energy Generation & Storage

Segment deep dive — Scaling.

The Energy segment generated \$12.7 billion in revenue in FY2025 (13.5% of group) but contributed a disproportionate 22.5% of estimated gross profit (~\$3.85 billion), driven by a strong ~30.2% gross margin. It is allocated 10.0% of enterprise value (\$145.5 billion).

The market values the Energy segment as a leading, high-growth supplier to the global grid infrastructure upgrade cycle. As renewable energy penetration increases, grid-scale battery storage (Megapack) becomes a necessary asset for utilities managing intermittency. The \$145.5 billion allocation reflects the segment's rapid top-line growth (up ~27% YoY) and its ability to grow independently of the cyclicalities in consumer auto sales. It is priced as a high-margin industrial technology business.

The demand for utility-scale battery storage is surging, driven by data center power requirements, grid decarbonization targets, and the declining cost of lithium-ion cells. Utilities are rapidly deploying mega-projects to stabilize grids. The residential side (Powerwall and solar) is more sensitive to consumer interest rates and net-metering policies, but the bulk of the segment's value is driven by commercial Megapack deployments.

Tesla's advantage lies in its software integration (Autobidder), manufacturing scale (Lathrop and Shanghai Megafactories), and brand reliability. Competitors include pure-play integrators like Fluence Energy and battery makers like CATL who supply directly to utilities. Tesla's edge is bundling hardware with energy trading software, which captures higher margins than pure hardware assembly. The ~30% gross margin points to strong pricing power and favorable raw material cost trends.

ENERGY GENERATION & STORAGE FACT SHEET

SCALING

FY2025A REVENUE
USD 12,771m

FY2025A COMP. EBIT
USD 3,850m

PROFIT METRIC
Gross profit (~30.2% margin)

GROWTH TRAJECTORY
~27% YoY revenue growth

KEY PRODUCTS
Megapack, Powerwall

08

Optimus & Robotics

Segment deep dive — Emerging option.

This segment generates no external revenue and no gross profit, and consumes significant R&D and capital spending. Despite this, it is allocated 25.0% of group enterprise value (\$363.8 billion). The allocation is an analytical estimate reflecting the wide valuation gap in the stock and management's claim that Optimus will eventually be the company's most valuable product.

Optimus is valued as a solution to global physical labor shortages. The market assumes Tesla can use its existing advantages in battery technology, electric motors, manufacturing scale, and AI inference (the same neural net architecture used in FSD) to mass-produce humanoid robots. If a robot can perform general tasks for an amortized cost of less than \$5 per hour, it undercuts human minimum wage across logistics, manufacturing, and eventually domestic service. The \$363.8 billion valuation prices in successful commercialization of a product that would decouple economic output from population growth, with a potential market as large as global GDP.

Tesla is not alone in the humanoid race. Agility Robotics has already deployed its Digit robot in pilot programs for logistics operators. Figure AI, backed by substantial venture capital, has demonstrated robots working in BMW facilities, while Unitree offers highly capable hardware at low price points. Boston Dynamics remains the benchmark for dynamic control and movement. Tesla's advantage is not currently in robotic dexterity but in its potential manufacturing capacity and AI training infrastructure.

The unit economics of generalized robotics work similarly to capital equipment leasing or SaaS. If Tesla sells the robot for \$25,000 with a \$10,000 hardware margin, the upfront economics resemble a car. The real value comes if Tesla leases the labor at \$10/hour or charges a recurring software licensing fee for skill upgrades. At \$10/hour for two shifts a day, a single robot generates ~\$40,000 in annual revenue. Capital intensity is high upfront, but operating leverage is significant if maintenance costs are controlled and the software scales smoothly.

OPTIMUS & ROBOTICS
FACT SHEET

EMERGING OPTION

FY2025A REVENUE
USD 0m

FY2025A COMP. EBIT
USD 0m

CURRENT REVENUE
\$0

REQUIRED EARNINGS
~\$14.5 billion

SCALE DRIVER
1.45mn units sold/leased
annually

CORE ANALYSIS · CROSS-SEGMENT BRIDGE

Putting the segments back together

09

How the segment valuations aggregate to the group, and the re-rating the target price requires.

The consensus forecast relies heavily on the physical businesses — Core Automotive and Energy — to drive the revenue and EBITDA bridge through 2028. The jump from \$4.3 billion in EBIT in 2025 to \$16.3 billion in 2028 requires a sharp reversal in current margin trends. It assumes the EV price war stabilizes, new lower-cost vehicle platforms scale profitably, and the Energy division holds its 30% gross margins as capacity doubles.

The cash flow bridge shows negative free cash flow in 2026 (-\$1.74 billion), reflecting the heavy capital spending needed to fund the AI compute clusters (AI5/AI6 chips) used for Autonomy and Optimus training.

The bridge is weakest where capital intensity meets future payoff: the legacy automotive and energy businesses must fund the multi-billion dollar R&D and capex needs of the Robotaxi and Optimus segments, which are not modeled to generate material standalone cash flow within this timeframe. If automotive margins compress further against BYD, the funding base for the AI optionality weakens, putting the entire \$1.45T valuation at risk.

BRIDGE MECHANICS

Auto and Energy must reverse margin compression to fund the multibillion-dollar AI compute capex drag.

Tesla's \$1.455 trillion enterprise value is largely disconnected from its current cash-generating ability. Using a normalized industrial/automotive framework (e.g., 15x EBIT), the current operating earnings of Core Auto and Energy would support an enterprise value of approximately \$80 billion to \$100 billion. The remaining \$1.35 trillion is essentially a premium paid for future optionality, market expansion, and AI leadership.

The bridge to equity market capitalization relies on the company's net cash position (\$8.1 billion), which adds balance sheet safety but doesn't materially change the stretched valuation multiples. The weakest assumption in this allocation is that the Autonomy/Robotaxi segment (\$654.8 billion) will make it through the regulatory and operational hurdles to monetization smoothly. By pricing this option at nearly half the company's value, the market largely ignores that Waymo is currently ahead in commercial deployment.

If Tesla's vision-only approach fails to achieve the safety validation required by state regulators, or if the consumer habituation window closes because Waymo scales to millions of weekly rides first, the \$654 billion allocation evaporates, with no hard asset floor or alternative source of value behind it.

This valuation only holds together if Tesla is viewed not as a car company but as a leading AI infrastructure business, with its physical products (cars, robots, batteries) as the delivery mechanism for a dominant software layer. If that thesis breaks, the reversion to an automotive/industrial hardware multiple would be sharp.

CORE ANALYSIS · SCENARIOS & VERDICT

10

Scenario logic and the bottom-line judgment

How the conclusion changes under less favourable scenarios.

The scenarios depend entirely on whether the AI segments succeed or fail. In the Bear case, the vision-only FSD system fails to reach regulatory approval for unmonitored commercial deployment, and Waymo captures the robotaxi market. Optimus stays a localized factory experiment. Tesla is re-rated as a successful but cyclical automotive and energy hardware manufacturer. Assuming \$30 billion in mature EBITDA at a 15x hardware multiple, enterprise value resets to roughly \$450 billion, destroying over \$1 trillion in market capitalization.

The Base case assumes Tesla launches a niche robotaxi service in select markets, keeping some option value alive, while Core Auto stabilizes margins and Energy continues to scale. This sustains the current \$1.45T valuation, as the market keeps rolling forward the terminal value of the option segments.

The Bull case requires Tesla to win the robotaxi race outright, using its millions of vehicles to outscale Waymo's more localized approach, capturing software-like margins on mobility, and successfully commercializing Optimus. The upside depends on the AI network effects playing out exactly as management claims, taking enterprise value toward \$3 trillion. What would break this case is capital exhaustion: if the core automotive business compresses to zero operating margin, it can no longer fund the heavy capex AI compute requires, forcing Tesla to slow R&D just as competitors scale.

BOTTOM LINE

The central investment debate for Tesla is whether it's an automotive manufacturer working through a cyclical, competitive downturn, or an early-stage AI infrastructure leader on the verge of automating physical labor and transportation. In reality, the physical businesses — Core Automotive and Energy — determine the company's short-term financial health, yet the market assigns 70% of enterprise value to the speculative Autonomy and Robotics segments. The valuation rests almost entirely on future optionality, which requires significant patience and capital. A portfolio manager should track Waymo's scale rate and Tesla's state-level permit filings as the clearest indicators of whether the robotaxi option has a realistic path to monetization, while watching Core Auto gross margins to confirm the company still has the funding to sustain the race.

FINANCIAL BRIDGE · PART 1

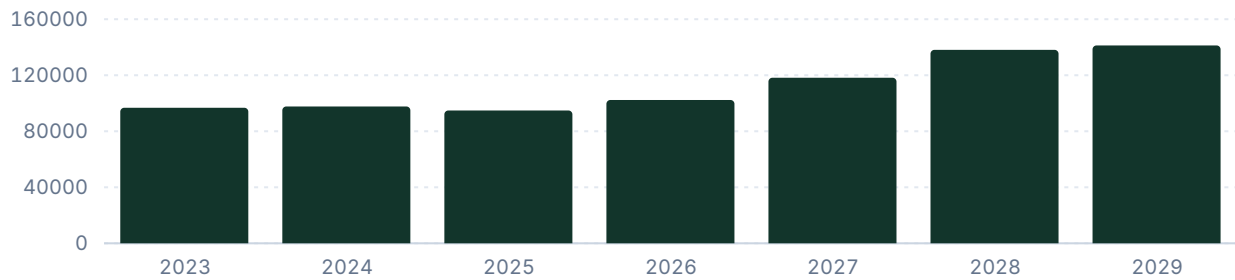
Net sales, EBITDA / EBIT, EBIT margin

14

Group-level trajectory for sales, earnings and margin; shaded bands mark forecast periods.

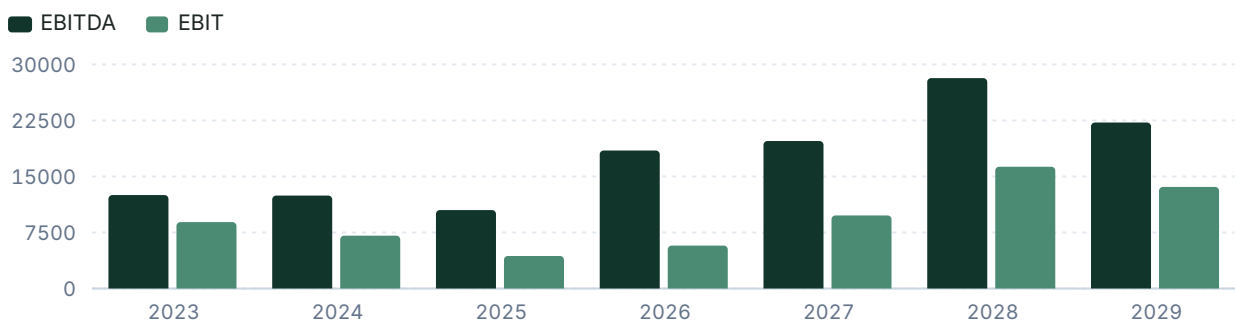
Net sales

USD millions



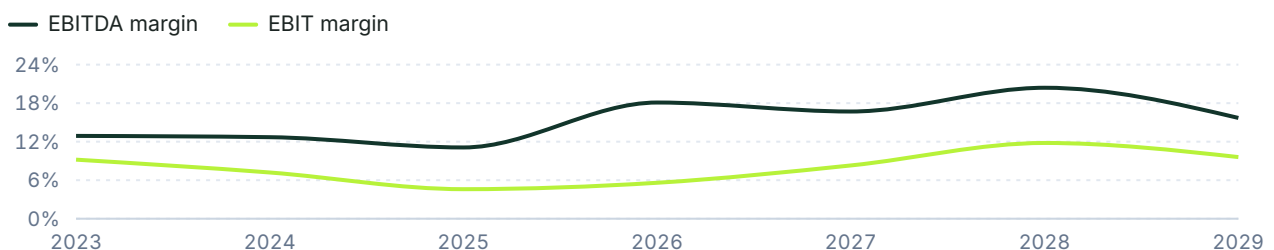
EBITDA & EBIT

USD millions



EBIT and EBITDA margin

% of net sales



FINANCIAL BRIDGE · PART 2

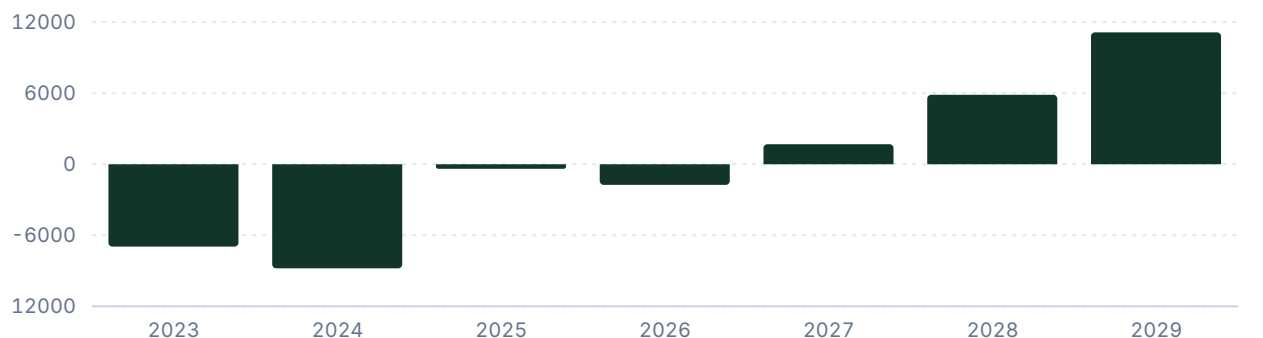
15

Free cash flow, leverage, and key financials

Cash generation and balance-sheet capacity.

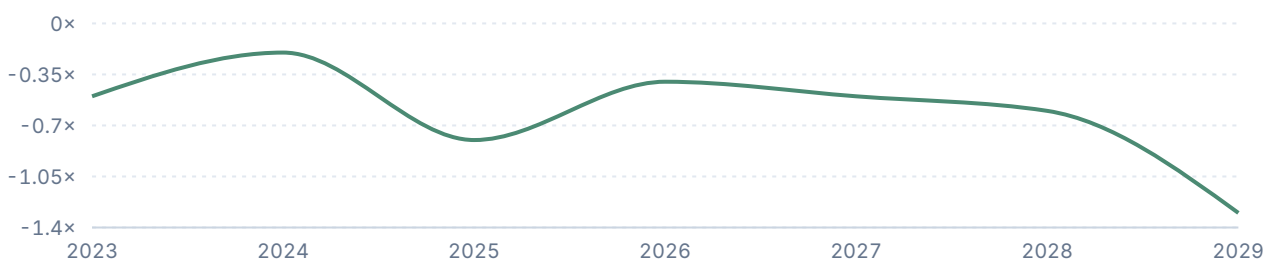
Free cash flow

USD millions



Net debt / EBITDA

Ratio



KEY FINANCIALS

	2025	2026	2027	2028	2029
Net Sales	94,827	102,329	118,214	138,122	141,266
EBITDA	10,503	18,475	19,747	28,167	22,224
Comparable EBIT	4,355	5,746	9,781	16,303	13,601
Net Earnings	3,855	5,622	9,940	16,269	14,270
EPS (USD)	1.2	1.7	3.1	5	4.4
DPS (USD)	0	0	0	0	0

VALUATION

Target price derivation

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The rationale for the chosen valuation method and multiple, with the company's historical multiples.

Tesla is evaluated as a loss-making growth archetype because its near-term earnings are heavily distorted by automotive price cuts and substantial R&D investments in pre-revenue AI options. Consequently, EV/Sales is selected as the primary valuation method on 2028 estimates to reflect its structural growth and platform scale, with EV/EBITDA providing secondary support. Tesla's forward multiple of 8.4x EV/Sales represents a steep premium to traditional automotive peers (median 0.9x) but stands well below its own normalized historical average of 14.0x. We assign a selected fair EV/Sales multiple of 7.5x, reflecting the embedded optionality of its energy and autonomy segments—particularly its robotaxi ambitions competing directly with Waymo—while accommodating ongoing margin normalization. The XY scatter valuation signal is omitted from the final target price calculation, as the recommended weight is 0% and the company is valued primarily on future revenue growth and optionality rather than near-term return on equity. The primary valuation risk remains the delayed deployment or unexpected regulatory headwinds surrounding its autonomous network, which would compress its premium technology multiple closer to conventional automotive peers.

HISTORICAL AND FORECAST MULTIPLES

METRIC	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	NORM. AVG	SELECTED FAIR MULTIPLE
P/E	763.78x	184.52x	30.57x	52.65x	180.49x	376.22x	177.18x	100.09x	61.17x	112.06x	
P/FCF	1841.87x	2055.23x	9835.96x	-113.38x	-146.87x	-3785.32x	-665.09x	684.35x	197.33x	1948.55x	
P/BV	29.62x	34.53x	8.62x	12.59x	17.71x	17.66x	13.09x	11.76x	10.09x	20.12x	
P/S	20.88x	19.37x	4.73x	8.15x	13.22x	15.29x	11.32x	9.80x	8.38x	13.61x	
EV/Sales	22.05x	20.10x	4.73x	8.20x	13.33x	15.34x	11.37x	9.82x	8.36x	13.96x	7.50x
EV/EBITDA	161.11x	114.67x	22.14x	63.46x	104.64x	138.54x	63.00x	58.81x	40.98x	100.76x	35.00x
Dividend yield	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a	

VALUATION

Peers and target price bridge

17

Validated peer multiples, each method's implied price and weight, and the sensitivity of the target.

PEER COMPARISON										
COMPANY	COUNTRY	MKT CAP	P/E 2026E	P/E 2027E	EV/EBITDA 2026E	EV/EBITDA 2027E	P/BV	EBIT MARGIN	ROE	DIV YIELD
Rivian Automotive, Inc.	United States	13.7 USDbn	-2.6x	-1.7x	-6.3x	-6.3x	-8.1x	-57.8%	n/a	n/a
Lucid Group, Inc.	United States	4.1 USDbn	-1.7x	-3.9x	-15.1x	-99.1x	-2.7x	-82.8%	n/a	n/a
Ford Motor Company	United States	56.2 USDbn	8.0x	5.9x	13.5x	11.3x	1.1x	4.3%	14.4%	9.9%
General Motors Company	United States	58.3 USDbn	6.2x	5.1x	6.0x	5.1x	0.7x	7.3%	13.8%	0.9%
Alphabet Inc.	United States	3867.9 USDbn	27.7x	23.8x	16.1x	14.0x	7.1x	33.7%	29.1%	0.3%
Uber Technologies, Inc.	United States	135.7 USDbn	22.6x	17.5x	12.1x	9.9x	4.1x	14.1%	20.2%	n/a
Fluence Energy, Inc.	United States	855 USDm	-0.9x	-0.7x	-2.3x	-3.0x	-0.6x	-30.8%	n/a	n/a
Enphase Energy, Inc.	United States	4.9 USDbn	20.1x	18.4x	13.7x	11.6x	4.0x	14.2%	22.1%	n/a
NIO Inc.	China	13.4 CNYbn	-1.3x	-2.1x	-12.5x	-178.7x	-0.6x	-9.3%	n/a	n/a
Peer median			20.1x	17.5x	13.5x	11.3x	4.0x	10.7%	20.2%	5.1%
Peer average			16.9x	14.1x	12.3x	10.4x	3.4x	10.0%	19.9%	5.1%
Web-sourced: General Motors Company (GM) Dividend yield.										

TARGET PRICE BRIDGE					
METHOD	FORECAST METRIC	METRIC VALUE	SELECTED MULTIPLE	IMPLIED PRICE	WEIGHT
EV/Sales	2028e ns	138,122	7.50x	274.5 USD	60%
EV/EBITDA	2028e ebitda	28,167	35.00x	261.2 USD	40%
Weighted target price				269.2 USD	100%

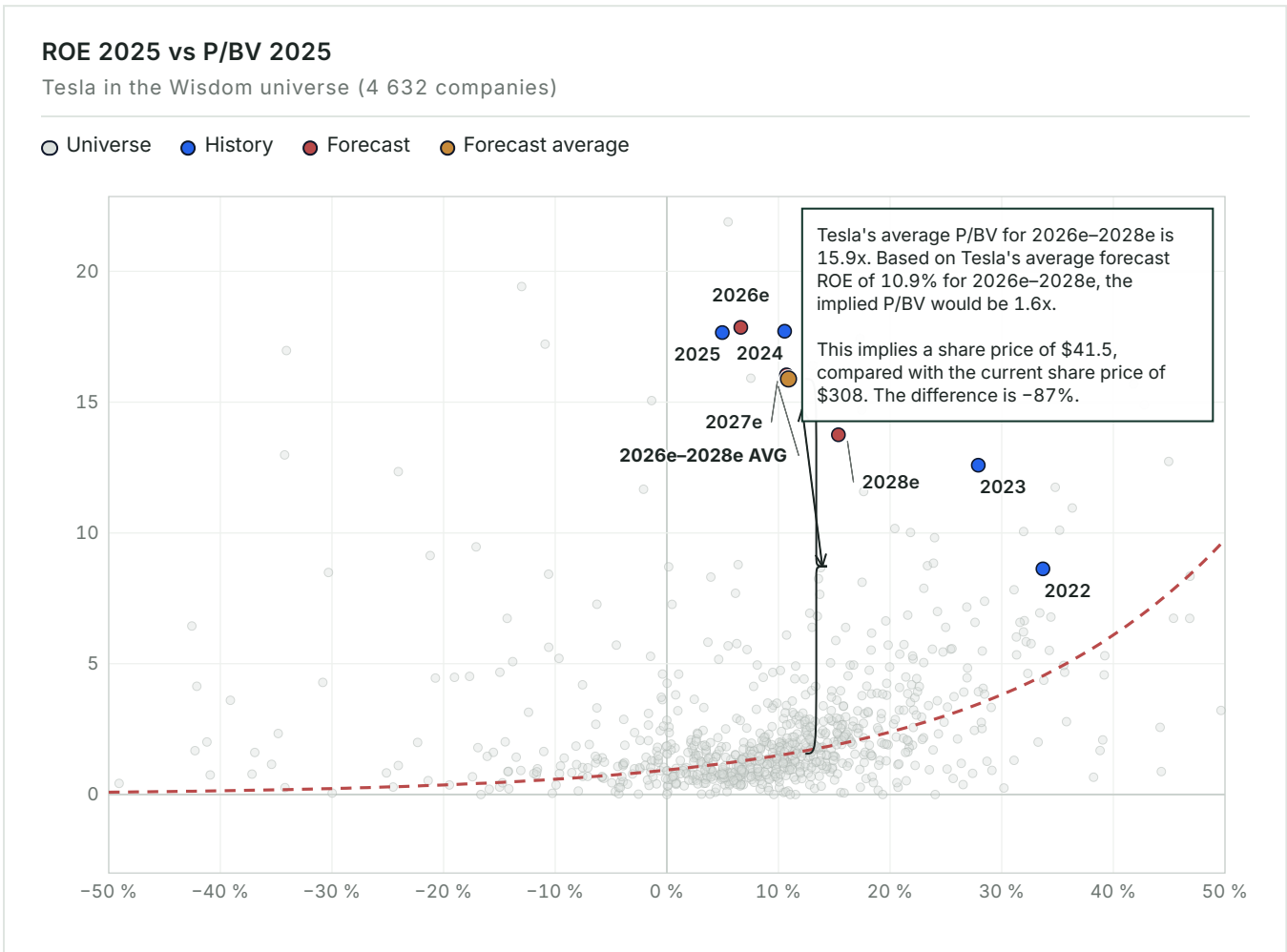
SENSITIVITY — IMPLIED SHARE PRICE			
2028E NS (USDM)	MULTIPLE 6.5X	MULTIPLE 7.5X (BASE)	MULTIPLE 8.5X
110,498 (-20%)	189.9	219.4	248.8
124,310 (-10%)	213.8	246.9	280.0
138,122 (Base)	237.7	274.5	311.3
151,934 (+10%)	261.6	302.1	342.5
165,746 (+20%)	285.5	329.7	373.8

VALUATION MAP

ROE vs P/BV — pricing versus profitability

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The whole Wisdom universe as context: how the market prices profitability on average, and what the company's forecast position would imply for the share price.



Tesla sits far above the peer curve, trading at a forecast average P/BV of 15.9x against a projected average ROE of 10.9%. The market typically pays a 1.6x multiple for this level of return, implying a share price of \$41.5 — 87% below the current price of \$308.3. This means Tesla trades at a large premium to the relationship between profitability and valuation multiples seen across the broader market.

MULTIPLES & SENSITIVITY

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Forward multiples and EBITDA × multiple grid

How the implied valuation responds to changes in EBITDA and the applied multiple.

FORWARD MULTIPLES	
	2026
P/E	239.4×
EV/EBITDA	85.2×
EV/EBIT	273.8×
P/FCF	-772.8×
P/BV	17.9×
Dividend Yield	—
Net Debt / EBITDA	-0.4×

EBITDA × EV/EBITDA sensitivity						
EBITDA EV/EBITDA →	25.0×	30.0×	35.0×	40.0×	45.0×	
-20% USD 14,780m	USD 369,500m USD 100.50 / sh	USD 443,400m USD 120.20 / sh	USD 517,300m USD 139.90 / sh	USD 591,200m USD 159.60 / sh	USD 665,100m USD 179.30 / sh	
-10% USD 16,628m	USD 415,700m USD 112.90 / sh	USD 498,840m USD 135.00 / sh	USD 581,980m USD 157.10 / sh	USD 665,120m USD 179.30 / sh	USD 748,260m USD 201.40 / sh	
Base USD 18,475m	USD 461,875m USD 125.10 / sh	USD 554,250m USD 149.70 / sh	USD 646,625m USD 174.30 / sh	USD 739,000m USD 198.90 / sh	USD 831,375m USD 223.50 / sh	
+10% USD 20,323m	USD 508,075m USD 137.40 / sh	USD 609,690m USD 164.50 / sh	USD 711,305m USD 191.60 / sh	USD 812,920m USD 218.60 / sh	USD 914,535m USD 245.70 / sh	
+20% USD 22,170m	USD 554,250m USD 149.70 / sh	USD 665,100m USD 179.30 / sh	USD 775,950m USD 208.80 / sh	USD 886,800m USD 238.30 / sh	USD 997,650m USD 267.80 / sh	

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SCENARIO VALUATION

Bear / Base / Bull bridge

Revenue, EBITDA, multiple, EV, equity, value-per-share and upside in each scenario.

SCENARIO BRIDGE								
	REVENUE	EBITDA	MARGIN	MULTIPLE	EV	EQUITY	VALUE / SHARE	UPSIDE
Bear	138,122	30,000	21.7%	15.0×	450,000	458,137	USD 121.98	-60.4%
Base	138,122	28,167	20.4%	51.6×	1,454,826	1,462,963	USD 389.53	+26.4%
Bull	138,122	60,000	43.4%	50.0×	3,000,000	3,008,137	USD 800.95	+159.8%
KEY CONDITIONS The scenarios depend entirely on whether the AI segments succeed or fail. The Bear case assumes vision-only FSD fails to secure regulatory approval, while the Bull case assumes Tesla wins the robotaxi race outright and successfully commercializes Optimus.								
THESIS BREAKER Capital exhaustion, if automotive margin compression leaves Tesla unable to fund the capex required for AI compute clusters.								

CATALYSTS

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Monitoring checklist

Near-, medium- and long-term events that could change the recommendation.

CATALYST REGISTER				
	TIMING	SEGMENT	INDICATOR	VALUATION IMPACT
Robotaxi Commercial Permits	NEAR-TERM	Autonomy, FSD & Robotaxi	CPUC / DMV unmonitored commercial deployment permits	Validates \$654bn autonomy option
Waymo Scale Rate	NEAR-TERM	Autonomy, FSD & Robotaxi	Weekly paid driverless rides (>1M target)	Competitive downside risk to option EV
Auto Gross Margin Stabilization	NEAR-TERM	Core Automotive	Segment gross margin excluding regulatory credits	Preserves core cash generation for AI R&D
Optimus Gen 3 Factory Autonomy	MEDIUM-TERM	Optimus & Robotics	Verified 24/7 unassisted operational hours	Provides evidence for \$363bn option value
READ - THROUGH The most important catalyst to watch is the gap between Waymo's weekly paid ride volume and Tesla's progress on unmonitored permit filings. Waymo's progress is easy to observe through third-party ridership data and regulatory filings. Tesla's progress is harder to read, since management leans on 'cumulative' mile figures that blend supervised driver assistance with true autonomy. A portfolio manager should look past the cumulative mileage charts and look for evidence of actual municipal commercial permits. If Tesla fails to secure unmonitored commercial permits in California or Texas by late 2027, the robotaxi thesis is seriously undermined. Core Automotive gross margin also needs close monitoring, since it funds the AI option value. If auto margins slip below 10%, market patience for the multi-year robotics R&D timeline is likely to run out.				

RISKS

Risk register

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Each risk's segment, mechanism, early-warning trigger, impact band and structural type.

RISK REGISTER					
	SEGMENT	MECHANISM	EARLY WARNING	IMPACT	TYPE
Regulatory blockade of vision-only FSD	Autonomy, FSD & Robotaxi	NHTSA or state DMVs mandate sensor redundancy for Level 4/5 operations.	Regulatory bans on vision-only tech	HIGH	STRUCTURAL
Chinese EV structural cost advantage	Core Automotive	BYD and peers undercut Tesla on price, compressing legacy vehicle margins.	Core auto gross margins <10%	HIGH	THESIS BREAKER
Waymo secures consumer habituation	Autonomy, FSD & Robotaxi	Waymo captures the urban mobility market and forms exclusive municipal partnerships before Tesla scales.	Waymo exceeds 1mn weekly paid rides	MEDIUM	STRUCTURAL
Battery cell supply chain bottlenecks	Energy Generation & Storage	Commoditization and input cost shocks delay utility-scale Megapack deployments.	Declining segment gross margin YoY	LOW	MANAGEABLE

READ - THROUGH

The biggest risk to the thesis is regulatory. Tesla's entire Autonomy valuation depends on a vision-only system, without the redundancy of LiDAR and radar, being judged safe enough by state and federal regulators for unmonitored commercial deployment. If the NHTSA or state DMVs mandate sensor redundancy for Level 4/5 operations, Tesla's entire current fleet becomes incapable of operating as robotaxis, and the data advantage from its consumer fleet is largely wiped out. The market, which is pricing in software-like certainty, appears to underweight this risk. Risks also interact across segments. The Chinese EV threat (BYD) forces Tesla to keep cutting vehicle prices. Lower vehicle prices compress Core Automotive cash flow. Lower cash flow limits Tesla's ability to invest aggressively in the AI5/AI6 compute clusters needed to advance the FSD neural network. A delayed neural network lets Waymo capture the urban mobility market and lock in exclusive municipal partnerships. The early warning sign for this chain of events is sequential negative free cash flow combined with declining Core Automotive gross margins.

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APPENDIX

Income statement

INCOME STATEMENT — USD MILLIONS						
	2023	2024	2025	2026 <i>E</i>	2027 <i>E</i>	2028 <i>E</i>
Net Sales	96,773	97,690	94,827	102,329	118,214	138,122
EBITDA	12,512	12,444	10,503	18,475	19,747	28,167
EBITDA margin	12.9%	12.7%	11.1%	18.1%	16.7%	20.4%
Depreciation	-3,621	-5,368	-6,148	-12,729	-9,966	-11,864
Operating Profit (EBIT)	8,891	7,076	4,355	5,746	9,781	16,303
EBIT margin	9.2%	7.2%	4.6%	5.6%	8.3%	11.8%
Net financial items	1,082	1,914	923	540	949	1,259
Pre-tax Profit	9,973	8,990	5,278	6,286	10,730	17,562
Net Earnings	14,976	7,153	3,855	5,622	9,940	16,269
PER SHARE						
EPS	4.7	2.2	1.2	1.7	3.1	5
DPS	0	0	0	0	0	0
Payout ratio	—	—	—	—	—	—

E = Valuatum estimate (not yet actualised)

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APPENDIX

Balance sheet

BALANCE SHEET — USD MILLIONS						
	2023	2024	2025	2026 E	2027 E	2028 E
ASSETS						
Tangible assets	45,123	51,507	40,643	47,391	54,748	63,968
Intangibles	362	1,226	135	146	168	197
Goodwill	253	244	257	257	257	257
Non-current assets	50,269	57,186	62,239	68,998	76,378	85,626
Inventories	13,626	12,017	12,392	13,098	15,131	17,679
Receivables	19,592	30,204	39,737	39,990	40,740	41,680
Cash & equivalents	16,398	16,139	16,513	17,499	20,216	23,621
Current assets	49,616	58,360	68,642	70,588	76,087	82,979
Total Assets	106,618	122,070	137,806	146,511	159,390	175,530
EQUITY & LIABILITIES						
Equity	63,609	73,680	82,865	88,487	98,427	114,696
Long-term debt	2,682	5,535	6,736	5,310	5,383	3,568
Short-term debt	1,975	2,343	1,640	5,310	5,383	3,568
Long-term liabilities	9,345	13,824	23,227	21,801	21,874	20,059
Current liabilities	28,748	28,821	31,714	36,223	39,089	40,775
Total liabilities & equity	106,618	122,070	137,806	146,511	159,390	175,530
CAPITAL STRUCTURE & RATIOS						
Net debt	-6,825	-2,516	-8,137	-6,879	-9,450	-16,484
Capital invested	51,868	65,419	74,728	81,608	88,977	98,212
Equity ratio	59.7%	60.4%	60.1%	60.4%	61.8%	65.3%
Gearing	-10.7%	-3.4%	-9.8%	-7.8%	-9.6%	-14.4%
Net debt / EBITDA	-0.5×	-0.2×	-0.8×	-0.4×	-0.5×	-0.6×
Current ratio	1.7	2	2.2	2	2	2

E = Valuatum estimate (not yet actualised)

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APPENDIX

Cash flow

CASH FLOW — USD MILLIONS						
	2023	2024	2025	2026 E	2027 E	2028 E
OPERATIONS						
CF from operations	11,384	3,171	3,691	18,230	19,916	28,146
Operating cash flow	4,094	1,868	2,616	17,747	19,038	26,980
Change in working capital	7,474	9,298	6,312	121	-10	-13
INVESTING & FREE CASH						
Gross capex	12,797	12,285	11,201	19,488	17,345	21,112
Capex (ex. M&A)	-12,797	-12,285	-11,201	-19,488	-17,345	-21,112
Free Operating Cash Flow	-6,957	-8,791	-383	-1,741	1,692	5,868
Free cash flow to firm	-6,955	-8,791	-383	-1,741	1,692	5,868
FINANCING						
CF from financing	8,306	8,594	8,285	2,244	145	-3,629
Dividends paid	—	—	—	—	—	—
Net change in cash	6,893	-520	775	986	2,717	3,405

E = Valuatum estimate (not yet actualised)

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APPENDIX

Quarterly snapshot

HISTORICAL QUARTERS — LAST TWO COMPLETED YEARS, USD MILLIONS								
	Q1/24	Q2/24	Q3/24	Q4/24	Q1/25	Q2/25	Q3/25	Q4/25
Net Sales	21,301	25,500	25,182	25,707	19,335	22,496	28,095	24,901
EBITDA	2,417	2,883	4,065	3,079	1,846	2,356	3,249	3,052
EBITDA margin	11.3%	11.3%	16.1%	12.0%	9.5%	10.5%	11.6%	12.3%
Comparable EBIT	1,171	1,605	2,717	1,583	399	923	1,624	1,409
EBIT margin	5.5%	6.3%	10.8%	6.2%	2.1%	4.1%	5.8%	5.7%
Net Earnings	1,405	1,416	2,183	2,332	420	1,190	1,389	856
EPS	0.4	0.4	0.7	0.7	0.1	0.4	0.4	0.3

CURRENT YEAR — QUARTERLY, USD MILLIONS				
	Q1/26	Q2/26 E	Q3/26 E	Q4/26 E
Net Sales	22,387	23,902	29,851	26,190
EBITDA	941	4,719	6,649	6,167
EBITDA margin	4.2%	19.7%	22.3%	23.5%
Comparable EBIT	941	1,125	1,980	1,700
EBIT margin	4.2%	4.7%	6.6%	6.5%
Net Earnings	491	1,622	2,144	1,364
EPS	0.2	0.5	0.7	0.4

E = ValuatUM estimate (not yet actualised)

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SOURCES & DISCLAIMER

Sources, assumptions, and standard disclaimer

SOURCES REGISTER			
	VALUE	CATEGORY	USED IN
Target Price (\$269.2)	269.2	GENERATED ESTIMATE	Cover Page & Recommendation
Enterprise Value (\$1,455bn)	1,455,065	FINANCIAL SNAPSHOT	Enterprise Value Allocation
FY2025 Revenue (\$94,827mn)	94,827	FINANCIAL SNAPSHOT	Segment Financials Table
Waymo ~500k Weekly Paid Rides	500,000	MARKET DATA	Autonomy Deep Dive
Autonomy Option Value (\$654.8bn)	654,779	COMPANY VALUE MAP	Enterprise Value Allocation
2028E EBITDA (\$28,167mn)	28,167	CONSENSUS ESTIMATES	Cross-Pool Financial Bridge
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